



Scan here for the full video
of the interview



| **THE BT INTERVIEW** |

Let's be honest, a bureaucrat or an exchange official like me, who works for a salary, may not be the best judge of how to price a company. If I knew that well, I'd probably be a fund manager myself. So, take everything, even my views, with caution.

Under the disclosure regime, people now assume that investing in an IPO guarantees quick profits. But that's not how markets work. Some IPOs will do well, others won't. Even profit-making companies can list at valuations that aren't sustainable and go down. A Mercedes is a good car, but not if it's priced at ₹100 crore. The same principle applies to stocks, even good companies can be overpriced. As for loss-making companies, some of them may have strong future potential. Investors sometimes subscribe based on that belief. Think of

“If you don't understand the instrument, don't touch it. Derivatives are not where they (retail investors) should be playing”

| 35

Amazon. It was loss-making for 20 years after its listing and is now a highly profitable company. So, we must increase awareness that there's no guaranteed money to be made just by applying for IPOs. Risk is inherent, and people must understand that.

SZ: FIIs have been pulling out large sums from Indian markets. Meanwhile, domestic institutional investors (DIIs) have been stepping in. What's your view on this shift?

AC: FIIs have more flexibility. If they see better opportunities elsewhere, they'll reallocate. In the last year, interest rates in the US, the primary market for many FIIs, have gone up significantly. When that happens, the cost of capital increases. If you've borrowed to invest, you feel the heat daily. So, they pull out of emerging markets like India.

Also, many FIIs now follow passive investment strategies. They just allocate based on indices like the MSCI Emerging Markets Index. But DIIs have filled that gap, a sign of increasing maturity and confidence in our markets. **BT**

@sazarabi